Making outsourcing work

Outsourcing strengthens banking only when risks are managed effectively



ILLUSTRATION: AJAYA KUMAR MOHANTY

A customer withdrawing cash through a business correspondent, applying for a loan on a fintech platform, or using a banking app supported by an external technology provider may not notice the third party behind the service. Nor should the customer have to. The service may be delivered through a partner, but the trust it rests on is placed in the bank.

Outsourcing is hardly new to banking. Banks have long relied on external agencies for card processing, cash handling, customer acquisition and technology support. What is new is the depth and complexity of these relationships. Today, critical technology infrastructure, lead generation, and other customer interfaces, fraud detection systems, and even elements of credit assessment are outsourced to external service providers. Outsourcing has moved from the periphery of banking towards its operational core.



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The case for outsourcing: The economic case begins with specialisation. With the proliferation of third-party service providers and fintechs, financial institutions are no longer required to build every technology platform or develop every specialist capability in-house. A service provider, by serving several financial institutions, can spread investments in infrastructure, security and skilled personnel across a larger customer base. This can lower costs, improve service quality, and give banks access to capabilities that would otherwise be expensive, especially for smaller institutions. Outsourcing can also convert some fixed expenditure into more flexible operating costs, helping banks adjust capacity as demand changes.

Speed matters alongside cost. Experienced service providers can offer proven systems, regular upgrades, and expertise in cloud services, payments, fraud analytics and artificial intelligence. Agile partnerships can shorten time to market, accommodate growth in transaction volumes, and improve the availability of digital services.

In fact, outsourcing can also strengthen resilience, as specialised providers can offer more robust safeguards and redundancy than smaller institutions could afford to maintain on their own, given the high capital and other fixed costs.

In India, business correspondents, by becoming extended arms of bank branches, have helped deliver formal banking services to communities where brick-and-mortar branches may be uneconomical.

Technology partnerships and fintech-led distribution have helped regulated entities reach new customers, simplify onboarding, and deliver services more conveniently. Such arrangements have enabled institutions of different sizes to participate in the expanding digital financial ecosystem.

Outsourcing is thus more than a cost-saving measure; it can support inclusion and innovation at scale.

New dependencies, emerging risks: The strengths of outsourcing can also create vulnerabilities. The challenge, therefore, is to preserve these gains while managing the risks associated with greater external dependence.

A service provider may be cost-effective because it serves many institutions on shared infrastructure; a failure of that infrastructure can then disrupt several of them at once. What is efficient for individual entities may, without adequate safeguards, create systemic concentration risks.

The global CrowdStrike-related IT outage in July 2024 demonstrated how widespread dependence on an external technology provider can cause disruption across sectors.

Other risks are closer to the customer. Third parties may mishandle confidential data, suffer cyberattacks, rely on poorly controlled subcontractors, or experience financial distress. In customer-facing activities, agents may mis-sell products, use inappropriate recovery practices, or fail to resolve complaints. Cyber criminals may exploit weaker controls at partner interfaces or among outsourced personnel, potentially compromising sensitive customer data.

Artificial intelligence adds another dimension. External models can improve fraud detection and credit analysis, but their workings may be opaque and their outputs difficult to explain. Models can develop or change biases over time. Using external tools to support decisions must not diminish a bank's ability to understand and challenge the resulting judgements.

Accountability remains with the bank: A fundamental principle is that banks may outsource activities, but not responsibility or accountability for outcomes. Customers entrust their money and information to banks, not to technology vendors, agents or fintech partners. Contracts can allocate functions and financial liabilities between parties; they cannot displace the bank's obligations to customers and regulators. The case, therefore, is for responsible outsourcing, not against outsourcing itself.

Certain core management and control functions must remain with the bank. More broadly, banks must retain sufficient expertise to evaluate outsourced work, identify weaknesses and intervene. A bank that no longer understands how an essential service operates cannot oversee it effectively. Therefore, building and maintaining in-house capabilities is crucial.

From contracts to continuous oversight: Effective oversight goes beyond selecting a reputable provider or negotiating a comprehensive contract. Due diligence, independent assurance, and customer-complaint analysis help reveal how risks evolve throughout the relationship. A consolidated view of critical dependencies can also highlight concentrations that individual vendor reviews may miss.

Operational resilience raises another question: Can essential services continue when a provider encounters difficulties? Tested recovery and backup arrangements, viable exit options and access to critical data become particularly important. Where providers serve several banks, concentration risk also acquires a system-wide dimension that individual institutions cannot address alone.

The regulatory approach has evolved accordingly. The Reserve Bank's (RBI's) 2025 consolidated outsourcing directions address financial services and IT outsourcing, complemented by its 2026 cybersecurity and technology risk framework. Internationally, the Basel Committee's 2025 principles also emphasise managing third-party risks. Both recognise the need for governance that extends beyond contract signing.

Recognising growing technology dependence, the RBI has established specialised teams to examine cyber breaches and disseminate lessons through advisories to regulated entities. The effectiveness of these advisories depends on timely remediation of the identified vulnerabilities by regulated entities.

The way forward: Ultimately, success depends not on how much a bank outsources, but on how well it governs those relationships. Outsourcing is essential to a modern, accessible and innovative financial system. Its benefits can be sustained if institutions remain alert to evolving risks, monitor service providers effectively, and retain the capability to act. Most importantly, the work may move outside a regulated entity; accountability does not.

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